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larger platform to continue investing in AI capabilities. It also strengthens our position with strategic partners such as Microsoft, Amazon, Google, Anthropic, OpenAI, Databricks, and Snowflake.

Q: What are the biggest execution risks in a transaction of this scale, and how do you plan to manage them?

A: In any acquisition of this size and scale, integration is one of the biggest risks. When two organisations come together, challenges typically arise if there are significant overlaps, whether at the leadership level, in customer ownership or in organisational culture. From a cultural standpoint, both companies are founder-led, with founders who come from strong technology backgrounds. That gives both organisations a technology-first DNA, which is a very important common thread. Both companies also have an entrepreneurial mindset. Persistent’s largest verticals are banking and financial services, healthcare and life sciences, and technology.

Nagarro’s strengths lie in industrials and consumer. Similarly, Persistent currently has around 300 employees in Europe. The combined company will have nearly 3,000 employees there. Outside India and Europe, our presence has been relatively small, whereas Nagarro has established operations across the Middle East, Japan, and the Philippines. There is enough opportunity for everyone in the combined organisation.

Q: How does this acquisition reshape Persistent’s capital allocation priorities over the next three to five years? Will more acquisitions follow?

A: Capital allocation generally comes down to three choices—investing in acquisitions, investing organically for growth, or returning capital through dividends and other shareholder payouts. This acquisition gives us significant scale across geographies, verticals and capabilities. We do not intend to pursue any other major acquisitions over the next two to three years.

If there are acquisitions, they are likely to be much smaller—either vendor consolidation opportunities or niche capability acquisitions in specific domains or service lines. Our immediate priority is very clear: obtain the necessary regulatory approvals, complete the transaction, integrate the two organisations and drive growth. **BT**

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